



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

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This circular was superseded by the [circular dated 28 June 2019](#), please refer to [here](#) for acceptable account opening approaches. Our Ref: IS/020/2002

28 June 2002

Circular to Registered Intermediaries

Amendment to the Code of Conduct for Persons Registered with the Securities and Futures Commission

The Securities and Futures Commission (SFC) today has issued and gazetted an amendment (the amendment) to the Code of Conduct for Persons Registered with the Securities and Futures Commission. The amendment, which takes immediate effect, introduces a **new alternative client identification procedure** (alternative procedure) designed to help registered persons verify the identity of new clients who wish to open accounts in non-face-to-face situations. A copy of the amendment is attached for your reference.

The alternative procedure can be applied to client accounts opened online or by post for dealing in securities, futures and options or unit trusts and mutual funds. This alternative procedure is a part of the SFC's continuous efforts to facilitate the growth and development of online trading business.

The amendment is available in electronic format in the 'Regulatory Handbook' section on the SFC website. Website <http://www.hksfc.org.hk>. A limited number of printed copies are also available for collection at the SFC's office at 12th Floor, Edinburgh Tower, The Landmark, 15 Queen's Road, Hong Kong.

Intermediaries & Investment Products
Securities and Futures Commission

Encl.

Amendment of Paragraph 5.1 of the Code of Conduct for Persons Registered
with the Securities and Futures Commission

5.1 Know your client: in general

(a) *(contents)*

(b) Alternatively, the identity of the client (other than corporate entities), may be properly verified if the registered person complies with the following procedural steps:

- (i) the new client sends to the registered person a signed physical copy of the Client Agreement (see paragraph 6.2) together with the client's identity document (identity card or relevant sections of the client's passport) for verification of the client's signature and identity;
- (ii) the registered person should obtain and encash a cheque (amount not less than HK\$10,000¹ and bearing the client's name as shown in his identity document) issued by the new client and drawn on the client's account with a licensed bank in Hong Kong;
- (iii) the signature on the cheque issued by the client and the signature on the Client Agreement must be the same;
- (iv) the client is informed (in the Client Agreement or by way of a notice) of this account opening procedure and the conditions imposed, in particular the condition that the new account will not be activated until the cheque is cleared; and
- (v) proper records are kept by the registered person to demonstrate that the client identification procedures have been followed satisfactorily.

¹ The minimum cheque amount required is subject to periodic review and will be revised when appropriate.